Computing corporation tax liability

Content

E Corporation tax liabilities

4. The comprehensive computation of corporation tax liability

1. Computing the corporation tax liability

Corporation tax = Taxable Total Profit × Corporation tax rate

1.1 Financial year

A financial year runs from 1 April to the following 31 March.

Financial year 2025 runs from 1 April 2025 to 31 March 2026.

1.2 Augmented profit

Augmented profits=Taxable Total Profit

+ Dividends from non-51% group companies

1.3 Corporation tax rate

Starting from FY 2023, there are two rates of corporation tax..

Financial year	2023	2024	2025
Small profits rate （augmented profits≤lower limit）	19%	19%	19%
Main rate （augmented profits≥upper limit）	25%	25%	25%

Lower limit=£50,000$\times \frac{m}{12} \times \frac{1}{n}$

Upper limit=£250,000$\times \frac{m}{12} \times \frac{1}{n}$

m=months of accounting period

n=number of associated companies

1.4 Associated companies

- Associated companies mean that companies are under the same control, that is, a shareholding of more than 50%.
- Companies that are only associated for part of an accounting period count as associated companies for the whole of that period.
- Cannot be dormant companies (not carrying on a trade or business) .
- Irrelevant of the company’s residence (overseas companies can be included).
- Include the parent company.

1.5 Marginal relief

Corporation tax = Taxable Total Profit × 25% - Marginal relief

Marginal relief =

$$(\text{Upper limit} - \text{Augmented profits}) \times \text{Standard fraction} \times \frac{\text{Taxable total profits}}{\text{Augmented profits}}$$

The standard fraction is 3/200.

1.6 Summary

FY 2023, FY 2024 and FY2025：	
Augmented profits	
≤Lower limit	Corporation tax = Taxable Total Profit × 19%
Lower limit - Upper limit	Corporation tax = Taxable Total Profit × 25% - Marginal relief
≥Upper limit	Corporation tax = Taxable Total Profit × 25%

1.7 Marginal rate of tax

If there are no dividends from non-51% group companies, there is a marginal rate of 26.5%(the rate will vary slightly if a company has dividends) which applies to any taxable total profits that lie in between the upper and lower limits.

Lecture illustration

Green Plc has taxable total profits of £200,000 and no dividend for the year ended 31 March 2026.

Calculate the corporation tax liability for Green Plc for the year ended 31 March 2026.

Lecture illustration - Solution

Augmented profits=£200,000, lower limit< £200,000<upper limit

Normal calculation:

Corporation tax = £200,000× 25% - (£250,000 - £200,000) × 3/200=£49,250

Using Marginal rate:

Corporation tax = £50,000× 19% + (£200,000 - £50,000) × 26.5%=£49,250

Lecture example 1

For the year ended 31 March 2026, A Ltd has taxable total profits of £30,000 and dividends from non-group companies of £3,000.

For the year ended 31 March 2026, B Ltd has taxable total profits of £240,000 and dividends from non-group companies of £12,000.

For the year ended 31 March 2026, C Ltd has taxable total profits of £180,000.

Calculate the corporation tax liability for these companies for the year ended 31 March 2026.

Lecture example 2

For the nine-month period ended 30 September 2025, Shelly Ltd has taxable total profits of £90,000 and dividends from non-group companies of £3,000.

What is the corporation tax payable by Shelly Ltd for the period ended 30 September 2025?

Lecture example 3

For the year ended 31 March 2026, Eva Ltd has taxable total profits of £75,000 and has two associated companies.

What is the corporation tax payable by Eva Ltd for the year ended 31 March 2026?

2. Trading as a sole trader or through a company

- As a sole trader
- Through a company

2.1 As a sole trader

- Income tax based on trading income
- Class 4 NIC based on trading income

2.2 Through a company

- Corporation tax based on taxable total profits
- Director's salary, bonus and Class 1 employer NIC paid for the director are deductible to compute taxable total profits.
- After-tax profits are paid to the director as dividends, resulting dividend income for the individual.
- The individual has to pay income tax on employment income, dividend income and related Class 1 employee NIC

Lecture example 4

Wendy starts a new business and expects to make profits of £80,000 before tax and national insurance.

(a) What is her disposable income after paying income tax and NIC, assuming that she is a sole trader.

(b) If Wendy trades through a company and she is the only employee with a salary of £8,000. Wendy will receive the remaining profit of company as a dividend. Calculate her disposable income after paying corporation tax, income tax and NIC.

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Practice(do by yourself first)

Practice

Phoebe currently operates as a sole trader, and if she continues with this self-employed status, her estimated trading profit for the year ending 5 April 2026 is £150,000 before tax and national insurance contribution.

(a) Calculate Phoebe's total income tax liability and NICs for the tax year 2025-26.

(b) If Phoebe trades through company, the expected taxable total profits for the new company for the year ended 5 April 2026 are also £150,000. After the payment of corporation tax, Phoebe intends to withdraw all profits through dividends during the tax year 2025-26. Calculate the total tax cost if Phoebe incorporates her business.

(c) Show if there will be an overall cost or saving if Phoebe incorporates the business.

Practice-A

(a) As a sole trader	£
Profits	150,000
Less personal allowance	(0)
Taxable income	150,000
Income tax	
37,700×20%	7,540
(125,140-37,700)×40%	34,976
(150,000-125,140)×45%	11,187
	53,703
Class 4 (50,270 － 12,570)×6%+(150,000-50,270)×2%	4,257
Total tax cost	57,960

Practice-A

(b) Through a company	£
150,000 at 25%	37,500
Marginal relief (250,000 - 150,000)×3/200	(1,500)
Corporation tax	36,000
Dividend income (150,000 – 36,000)	114,000
Personal allowance 12,570-(114,000-100,000)/2	(5,570)
Taxable income	108,430
Income tax:	
500 at 0%	0
37,200 (37,700 – 500) at 8.75%	3,255
70,730 (108,430 – 37,700) at 33.75%	23,871
Income tax liability	27,126
Total tax cost (36,000 + 27,126)	63,126

Practice-A

(c)	£
Through a company	63,126
Self-employed	(57,960)
Overall cost	5,166
This is £5,166 more than if Phoebe continues to trade as a sole trader.	



谢谢观看

THANK FOR WATCHING